Mom-and-Pop Expense Normalizer

Property: _____ **Date:** _____

Mom-and-pop books are not lying to you on purpose. They were built for a family, not a buyer. Your job is to rebuild them the way the park will actually run under you, then underwrite that number.

1. Why seller expenses lie

- Unpaid owner labor makes the deal look profitable at a cost you will actually pay.
- Family on payroll at sweetheart rates that leave with the family.
- Personal truck, phone, and insurance living in the books.
- One-time repairs that somehow happen every year.
- Capitalized expenses that were really maintenance.

2. Add-back worksheet

For each line: write what the seller claims, what you add back, and the normalized number you will actually live with.

Expense line	Seller claims	Add back	Normalized
Owner/manager salary (unpaid or underpaid)			
Family labor			
Personal vehicle, phone, insurance			
Property taxes (reassess at purchase price; ask your CPA)			
Management (price it even if self-managing; 5-10% is the honest placeholder)			
Repairs (normalize over 3 years, not the seller's best year)			
Capitalized expenses that were really maintenance			
Utilities (use the 12-month bills, not the OM)			
TOTAL NORMALIZED EXPENSES			

3. The benchmark check

Normalized expense ratio = normalized expenses / effective gross income. Park benchmark: 35-50%. 35% only if tenants pay their own utilities. If you land under 35%, you missed something.

4. Normalized NOI

Normalized NOI = effective gross income minus normalized expenses. This is the number you underwrite, not the seller's.